

fraud. “[F]raudulent inducement of contract—as the very phrase suggests—is not a context where the ‘traditional separation of tort and contract law’ [citations] obtains. To the contrary, this area of the law traditionally has involved both contract and tort.” (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) “[W]e permit the plaintiff to recover exemplary damages in cases in which the breached contract was induced through promissory fraud.” (*Freeman & Mills, Inc. v. Belcher Oil Co.* (1995) 11 Cal.4th 85, 108.) The economic loss rule does not apply to fraudulent inducement because the duty of fair dealing is independent of the contract, and because the tortious conduct occurs prior to contract formation. (See *Erlich v. Menezes* (1999) 21 Cal.4th 543, 551-52, “[T]he duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm.”) The recent decision in *Rattagan* makes clear that the economic loss rule does not apply to claims for fraudulent inducement, regardless of whether affirmative misrepresentation or concealment is involved. (See *Rattagan v. Uber Technologies, Inc.* (2024) 15 Cal.5th 1.)

Because *Rattagan* was reframed as specifically about fraud-in-the-performance, and Plaintiffs have alleged fraud-in-the-inducement, the fraud-in-the-performance test in *Rattagan* does not apply. (*Rattagan*, p. 26.)

Dhital is the appropriate precedent that is on point. *Dhital* held that the economic loss rule does not bar claims for fraudulent inducement, including, as alleged here, through fraudulent concealment. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843; and see *Rattagan*, supra, at p. 31.)

Defendant argues that Plaintiffs’ claims are barred by the economic loss rule. *Dhital* refuted this argument, and *Rattagan* confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (*Rattagan*, supra, p. 38; and see *Dhital*, supra, 84 Cal.App.5th at 839.) (See *Moore v. American Honda Motor Co., Inc.* (N.D.Cal. 2025) 2025 WL 948114, at *7 [concluding *Rattagan* only applies to concealment during the performance of a contract, while *Dhital* applies to inducement-based claims].)

In this case, the duty that Defendant allegedly breached is its duty in tort of fair dealing, which bars pre-sale suppression of information. This duty has long existed in common law, and was codified in Civil Code section 1710, subdivision (3), enacted in 1872. (See *Li v. Yellow Cab Co.* (1975) 13 Cal.3d 804, 814-16, [background on the 1872 Civil Code].) Holding that the warranty contract, indirectly through the economic loss rule, excuses FCA from responsibility for its own fraud runs counter to California law. (Civ. Code, § 1668.) Thus, the economic loss rule does not apply here.

Conclusion

For the reasons analyzed above, Defendant FCA US LLC’s **Demurrer to Plaintiffs’ sixth cause of action for Fraudulent Concealment is overruled.**

23. 9:00 AM CASE NUMBER: C26-02061

CASE NAME: BEATRIZ ARREOLA VS. DOES 1-20

HEARING IN RE: ORDER TO SHOW CAUSE RE PRELIMINARY INJUNCTION

FILED BY: ARREOLA, BEATRIZ A.

TENTATIVE RULING:

Based on the Court’s review of the docket, it appears that all defendants were been dismissed on August 21, 2026 – Sokoloff Remtulla LLP without prejudice and RoundPoint Mortgage Service LLC and TH MSR Holdings LLC with prejudice. The Court believes the request for Preliminary Injunction is **moot** and the entire matter should be dismissed.